chap - 10 Financial Market

Meaning

- Financial Market creates a link between savers and Borrowers.

This market Transfers the money or capital from those who have surplus money to those who are in need of investment.

- funds can be alloted through Bank and financial market.

* Functions of Financial Market

1) Mobilisation of savings and channelising them in to the most productive uses :- It transfers the fund of surplus unit in to the most productive investment opportunities.

2) Facilitate price Discovery :- Price of securities are decided with the help of Demand and supply of financial securities.

3) Provide liquidity to Financial Assets :- You can easily sold and purchase financial assets from financial market

4) Reduce the cost of transcation → Financial market provides all the information related to the market, pricing of securities, ~~qual~~ availablity etc., so, investors and companies do not have to spend much on getting the information.

* Financial Market is classified into

(i) Money Market
(ii) Capital Market.

Money Market

- It is a market for short term funds which meant for use for a period of upto one year. It is a source of working capital. Money market has no fixed geographical location. These are low risk, highly liquid & unsecured.

★ Instruments of ~~call~~ Money Market

1) Call Money → The money borrowed on demand for a short period which is one day to 15 days. Sunday and other ~~period which is one~~ day holidays are excluded for this purpose. Call money is called Inter bank call money.

because Bank use call money. Most of the time banks require call money to meet the minimum requirement of CRR. The Intrest paid on call money is call rate.

2 **Treasury Bill** ⇒ On the behalf of the govt. RBI issue treasury Bill to meet its short-term requirement of funds. These are freely transferable. These are issued at discount. These are considered as safest investment as these are issued by RBI. The maturity period varies from 14 to 364 days. Treasury Bills are also called Zero coupon Bonds.
These are available for minimum amount of ₹25,000 and in multiples thereof.

3 ~~Comp~~ **Commercial Bills** → These Bills are used to finance the working capital requirement.
These have short term maturity period generally 90 days and can be discounted with bank even before the maturity period. These can be transfer easily. These are also called Trade Bills,

4 **Commercial paper** ⇒ Commercial paper is an instrument issued by large credit worthy companies to raise short term funds at lower rates of intrest than the market price / rate.

It has maturity period of 15 days to one year. These are unsecured promisory note and funds raised through this can be used to meet the flotation cost. This is called bridge financing.
Commercial banks and mutual funds are the main investors of commercial papers.

3. Certificate of Deposit [C.D] ⇒ It is a time or deposit which can be sold in the secondary market. Only a bank can issue C.D. It is a bearer certificate and can be transfered easily. C.D can be issued for a period of 91 days to 1 year. C.D are issued at a Discount on the actual ~~amo~~ amount of deposit held.

Capital Market

Capital Market is a market for medium & long term fund. It include all the organisations, insititutions and that provide long term & ~~m~~ midium term funds. It does not include the investments or institutions which provide finance for short period [upto one year] common instruments are shares, debentures, public deposits, mutual funds bonds etc.

* Types of Capital Market.

(i) Primary Market (ii) Secondary Market.

Primary Market

- The primary market is also known as the new issue market i.e, new securities are issued by the company. A company can raise capital through the primary market in form of equity shares, preference shares, debenture, loans and deposits.

* Methos of Flotation of securities in primary market ÷

1) Offer through Prospectus ⇒ This is the most popular method of rasing funds by public companies in the primary market. Company issue prospectus containing all the details of the company. This helps the public to know about the risk & earning potential of the company and according they decide. whether to invest or not in that company.

2) Offer for Sale ⇒ under this method new securities are offered to genral public but not directly by the company but by an intermediary who buys whole lot of securities from the company and issue to genral public at higher prices.

under this method company is saved from the formalities and complexities of issuing securities directly to Public

3 Private Placement → under this method the securities are sold by the company to an intermediary at a fixed price and then intermediaries sell these securities to selected clients. It helps to raise capital more quickly than a public issue. It is a cost saving method

4 Right issue → This is a right given to the existing shareholders to subscribe to a new issue of shares at reduced price before it issue to general public. It is mandatory for company.

5 E-IPOS → It refers to issuing securities through the online system of stock exchange. In this, company has to appoint registered Brokers for the purpose of accepting applications and placing orders. The managers co-ordinates the activities through various intermediaries connected with the issue.

[O.R.E.O.-P]

$\boxed{\text{Secondary Market}}$ [stock exchange]

- The secondary market is the market for the sale and purchase of previously issued or second hand securities.

→ Here securities are sold by one investor to another. Then both the investor can meet in secondary market and exchange securities for cash through intermediaries called Broker.

* features of capital Market / or its Nature

1) Link between savers and investment opportunities ⇒ capital market is a crucial link between saving & investment process

2) Dealing in long investment → capital market provide fund for long time and medium term

3 use of intermediaries ⇒ capital market makes use of different intermediaries such as broker, underwriters, depositories etc. these intermediaries act working organs of capital market and very important element of capital market.

4 Determination of capital formation ⇒ the activities of capital market determine the rate of capital formation in a economy. capital market offers attractive opport. to those who have surplus fund so, that they invest more and more in capital market and are encouraged to save more for profitable opportunities.

5 Govt. rules & regulation ⇒ The capital market operates freely but under the guidance of govt. policies. These markets functions within the frame work of govt. rules & regulations e.g. stock exchange works under the regulation of SEBI which is government body.

-* A Stock Exchange :*-

An organisation or body of individuals, whether incorporated or not established for the purpose of assisting, regulating and controlling of business in buying, selling and dealing in securities.

* Functions of stock exchange

1) Economic Barometer → A stock market is a reliable barometer to measure the economic condition of a country. every major change in the country is reflected in the pricing of shares.
PNB scam, COVID-19, these all affects the price of shares. Stock exchange is an economic mirror, it is also known as a pulse of economy.

2 Pricing of Securities → Prices of shares are depending upon demand and supply factors. These securities of profitable and growth oriented company are valued higher as there is more demand for such securities.

3 Safety of Transcation → Stock market ensure the safty of transcation. Here only listed securities are trated after verifying the soundness of the company. Stock market ~~prefer~~ prepare rules & regulations for listed companies

4) Contributes to economic growth → Stock market promote savings and investment which leads to economic growth.

5 Providing scope for speculations → To ensure liquidity and demand of supply of securities the stock exchange permits healthy speculation of securities.

6 Liquidity → The main function of stock market is to maintain liquidity in the market. Investor can convert their investment easily in to cash. They can easily investment in long term investment and easily convert their long term investment into short term investment.

★ Trading procedure on a stock exchange :-

- Before selling the securities through stock exchange, the companies have to get their securities listed in the stock exchange. The name of the company is included in listed securities only when stock exchange authorities are satisfied with the financial soundness and other aspects of the company.

Now Trading procedure is done through computer. the following steps are :-

1) Selection of Broker → The first is to select a Broker who will buy or sell securities on behalf of the investor. Brokers also registered from SEBI. Before placing order investor has to provide following documents.

* Pan card
* DoB & Address
* Educational qualification and occupation
* Bank a/c details
* Depositing A/C details
* Residential status
* client registration from.

After taking these information broker opens a trading a/c in the name of investor.

2 Opening ~~bank~~ demant a/c with depository ⇒ Demat a/c holds securities in electronic form.
The securities are hold in the form by a depositary. Depositary is an institution which hold securities. At present there are two depositories. NDSL [National securities depository Ltd.] and CDSI [Central depository services Ltd.]. There is no direct contact between depository and investory.
Depository intracts with investors through depository participants only.

3 Placing the order ⇒ After opening the demat a/c, the investor can place the order.

4 Match the share and best price ⇒ the broker will then go online and connect to the main stock exchange and match the share and best price available

5 executing order ⇒ when the shares can be bought or sold at the price mentioned, it will be communicated to the broker terminal and the order will be executed electronically. the broker will issue a trade confirmation slip to the investors.

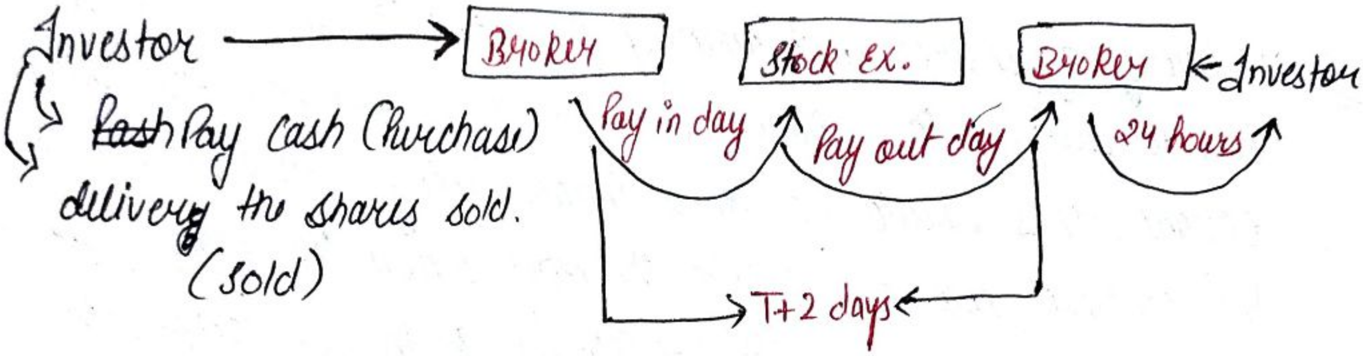
6 issue of contract Note ⇒ After the trade has been executed within 24 hours, the broker issued a contract Note.

7 Delivery of shares and making payment ⇒ Now the investor has to deliver the shares sold or pay cash for the shares bought. this should be done immediately after receiving the contract note - or before the day when the broker shall make payment or delivery of shares to the exchange. This is called pay in day.

8 settlement cycle ⇒ cash is paid or securities are delivered on pay in day, which is ~~of~~ before T+2 day as the settlement cycle is T+2 days on w.e.f. April 2003 rolling settlement basis.

9 On the T+2 day, the stock exchange will before the share or make payment to the other broker. this is called pay out day. the broker then has to make payment to investor with in 24 hours of the pay out day. since he has already receive payment from the exchange.

10) The Broker can make delivery of shares in demat form directly to the investors demat a/c. The investor has to give details of his demat a/c. and instruct his depository participant to take delivery of securities directly in his beneficial owner (demat) a/c.



* Consitituents of Depositary system

- Depositary system consist of.

(i) The depositary (ii) The depositary participants.

(i) The depositary ⇒ Depositary is the apex organisation or unit in the depositary system.

Depositary is just like a bank where depositor/investor can deposit and withdraw the money or securities.

In a depositary, an investor can deposit or withdraw his share

(ii) the depository participants (DP) ⇒ DP is an agent of the depository. An investor has to interact only with a DP and not with the authority for all his dealings in shares in electronic form. As per SEBI guidelines, any financial institution, the shares brokers, bank, etc. can become DP after registration with SEBI. DP is the vital intermediary in depository system and all buying and selling of shares under depository system take place through DP only.

Stock exchange indices

1) Sensex ⇒ This is Bombay stock exchange index. It is ~~calculated~~ calculated by taking prices of 30 shares accross key sector of BSE.

2) Nifty ⇒ This is a National stock exchange index. It is calculated by taking prices of 50% key stocks listed in NSI.

* other benefits of online stock exchange :-

1) Dematerialisation ⇒ It is the process by which a client can get physical certificates converted into electronic balances. An investor intending to dematerialise its securities needs to have an account with a DP.

2) Demutualisation ⇒ Earliar on the intermediaries, i.e broker used to own, control and manage the stock exchanges. The ownership and management of stock exchange by the brokers often led to conflict of intrest btw brokers and their clients. To solve this problem ~~of~~ govt. did demutualisation of stock exchange.

Demutualisation refers to seperation of ownership and control of stock exchange from trading rights of members through demutualisation there is reduction of chances of brokers using stock exchange for personal gains.

Securities Exchange Board of India [SEBI]

Sebi was established on 12th April 1988, to protect the intrest of investors.

SEBI is the regulator of stock exchange.

Objectives of SEBI

The overall objectives of sebi are to protect the intrest of investors and to promote the development of stock exchange and to regulate the activities of stock market. The objectives of SEBI are:-

→ To regulate the activities of stock exchange
→ To protect the rights of investors and ensuring safety to their interest.
→ To prevent fraudulent activities in stock market.
→ To regulate and develop a code of conduct for intermediaries such as brokers, underwriters, etc.

★ Functions of SEBI

(i) Protective function

1) It prohibits price rigging, making misleading statements, manipulation etc.
2) It prohibits insider trading and imposing penalties for such practices
3) SEBI undertakes step to educate investors so, that they can choose the most profitable securities.
4) SEBI promote ~~their~~ fair practices and code of conduct in security market
5) SEBI has issued guidelines to protect the interest of debentureholders.

2) Development functions

1) Sebi promotes training of intermediaries of the securities market.
2) SEBI has permitted internet trading through registered stock brokers.
3) SEBI has made underwriting optional to reduce the cost of issue.
4) Conducting ~~a~~ research and publishing information useful to all market participants.

3) Regulatory functions

These are performed by SEBI to regulate the business in stock exchange.

1) SEBI has framed rules and regulations and a code of conduct to regulate the intermediaries such as brokers, underwriters etc,
2) SEBI registers and regulates the working of stock exchange brokers, sub-brokers etc.
3) SEBI registers and regulates the working of mutual funds.
4) SEBI regulate take-over of the companies.
5) SEBI conduct inquiries and audit of stock exchanges.

2) Development functions

1) Sebi promotes training of intermediaries of the securities market.
2) SEBI has permitted internet trading through registered stock brokers.
3) SEBI has made underwriting optional to reduce the cost of issue.
4) Conducting ~~a~~ research and publishing information useful to all market participants.

3) Regulatory functions

These are performed by SEBI to regulate the business in stock exchange.

1) SEBI has framed rules and regulations and a code of conduct to regulate the intermediaries such as brokers, underwriters etc,
2) SEBI registers and regulates the working of stock exchange brokers, sub- brokers etc.
3) SEBI registers and regulates the working of mutual funds.
4) SEBI regulate take-over of the companies.
5) SEBI conduct inquiries and audit of stock exchanges.